

BOARD OF CBA

MINUTES

(27.06.2017)

Refinancing Rate of June 27, 2017

The CBA Board Meeting of June 27, 2017 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board meeting opened with presentation of Situation Report as of June 27, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was stated that there was 0.2% of deflation in May 2017 compared with that of 0.7% recorded in the same month of the previous year, in which case the **12-month inflation rate continued increasing, reaching 1.6% at the end of the month.** Inflation is recovering slightly faster due to both a slower seasonal decline in prices of agricultural products and changes in the components of headline inflation. According to the Central Bank assessment, in **June** too, inflation is expected to recover faster, but in this case the prevailing part of the impact will owe to headline inflation. As a result, **instead of the forecasted 0.8%, the 12-month inflation rate in late June will be in the range of 1.0-1.2%.**

It was admitted that the GDP growth over the period of January-May has exceeded expectations, mainly due to high growth in industry and services, by 14.4% and 11.1%, respectively. **The growth of economic activity indicator in January-May 2017 amounted to 6.4%.** The increase has incurred mostly under the influence of supply-side factors, particularly faster-than-expected growth rate in export (20.9% y/y in January-May) and tax administration. And since the fiscal impulse has become more contractionary – 4.0% in the second quarter against 2.1% in the first quarter – ongoing recovery of domestic demand has been entirely conditioned by macroeconomic stability, expansionary monetary policy implemented by the Central Bank as well as existing relatively low inflationary expectations. As a result, the recovery of demand has exceeded the expectations by 0.1-0.2 percentage points, primarily thanks to higher growth in private consumption, which was fuelled by high growths in currency in circulation, import and trade, by 19.1%, 24.4% and 12.8%, respectively. The discussion by the Board of the Central Bank covered the possible positive impact from

reducing the state budget deficit in terms of public debt and macroeconomic stability, which, according to the Central Bank assessment, will have reflection in the upcoming developments with the GDP potential.

Taking into account higher-than-expected economic growth recorded in the first quarter of the year as well as that such developments continue into the second quarter, the Central Bank sees actual reason for an upside revision of economic growth forecast in the third quarter's monetary policy program.

The Board noted that actual indicators of economic growth in trade partner countries were quite close to the Central Bank estimates while deflationary patterns continued to be observable in food and commodity markets of the world. However, these patterns were estimated to be short-term, characterized by supply-side developments in individual markets. Thus, the food price index by Food and Agriculture Organization published before June denoted inflationary patterns: according to June 8th release, FPI grew in May by 2.2% against the previous month and by 10.0% against the same reference period last year. Yet in June, due to large supply of raw materials and food, prices came in lower than expected. In such a situation, the Board assessed, significant inflationary pressures from the external sector in the upcoming period are not likely.

The Board also discussed the developments in the financial market, admitting that the gap between interbank interest rates and the policy rate is narrowing as a result of the adjustment in the market. If necessary, the Board will use all possible monetary instruments to minimize the deviation of interest rates.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began discussing the monetary policy directions and the interest rate decision-making. The Board agreed that external and domestic economic developments did not have significant inflationary effects; the inflation risks were generally balanced and inflation expectations relatively low. Based on this, the Central Bank Board found it reasonable to leave monetary conditions unchanged, assessing that they fairly contribute to the further recovery of inflation and the attainment of the target in the forecast horizon.

At the same time, the Board believed that in case the expected macroeconomic developments unfold, the interest rate will remain at the same level for a while. However, should inflation and macroeconomic indicators deviate from the predicted path, the monetary policy directions would be adjusted accordingly while making sure the inflation target is fulfilled in the medium run.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

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**THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD RESOLUTION**

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.5%.
3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

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PRESS RELEASE

27.06.2017

On a June 27, 2017 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the 6.0% level.

There was 0.2% of deflation in May 2017 compared with that of 0.7% recorded in the same month of the previous year. In this circumstance, the 12-month inflation rate continued expanding; it amounted to 1.6% at the end of the month. Taking into account the current inflation developments, the Board estimates that inflation is in line with the planned scenario by the results of the second quarter.

In the external environment, the global economic growth outlook is further improving slowly while certain short-term deflationary patterns were observable in international commodity markets. However, the Board only expects minor inflationary effects from the external sector in the forthcoming months.

The Board notes that growth of economic activity in the second quarter of 2017 remained strong, largely due to high growth registered in industry, rendered services and trade sectors. Domestic demand is recovering gradually which, under a contractionary fiscal policy, is determined by expansionary monetary policy implementation by the Central Bank, persisting macroeconomic stability and relatively low inflationary expectations. Given the aforementioned developments as well as estimation of balanced inflation risks, the Board of the Central Bank finds it appropriate to leave monetary conditions unchanged. As a result, inflation is expected to continue expanding gradually, shaping within the confidence band in 2017 and stabilizing around the target in the forecast horizon. The Central Bank believes that if the macroeconomic developments proceed with the predicted scenario, monetary conditions will remain unchanged for some time.

However, should there emerge risks to the inflation deviating from its recovery path, the Central Bank would react by adjusting its monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

Detailed information on setting of the interest rate will be available in Press Release (Minutes on Interest Rate), to be published by July 7, 2017.

Press Service of the Central Bank of Armenia